



Intercontinental Exchange

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Ken Worthington: Hey, everybody. My name's Ken Worthington. I cover brokers, asset managers, exchanges, and crypto at J.P. Morgan. Today, we have Warren Gardiner, the CFO of ICE.

I'm going to walk through 25-ish minutes of Q&A. I encourage you all, if you have questions...I'll a lot time at the end for Q&A. You'll be able to hear less from me and probably more of your own good questions.

Warren, thank you so much for joining here today. I'm going to start higher-level. I'm going to dig through the exchange part of the business, mortgage, and end up a little bit with FIDS. Starting big picture and higher-level, where are you spending your time these days? What's taking your time? Where are you focused? What are you thinking about?

Warren Gardiner: First of all, thanks for having me, Ken. Thanks, everybody, for joining here, and everybody online listening. I would say, look, these days, it's really focused on the day-to-day operations of the company, so looking across our various businesses.

We're in the middle of our budget process right now, so thinking about capital allocation across the business as we head into next year. We are in a fortunate position. I consider myself pretty lucky from that perspective. We've got a business that's around \$10 billion or so of revenue, generates maybe \$6.5 billion or so of EBITDA off of that, so a really healthy cash flow stream to work with.

We always want to invest in the business first, so that's what we're doing today or over the last couple weeks or so that we've been going through this budget process, focusing on that. That's really been where the main focus for us has been, and for me and my team, in recent days.

Ken: The big question is, who's getting more money in ICE...

Warren: [laughs]

Warren: and who's getting less?

Warren: We are, as I said, in a fortunate position where we do generate a lot of cash. There certainly is no shortage of ideas at ICE, in terms of what we can invest in and where we can take the company. We go through all of those, but we do a good job distributing that in an equal way and are in a position where we can really invest across the business to grow well into the future.

Again, one of the important things about ICE is we do have, as I said, a roughly \$10 billion revenue stream with \$6.5 billion of EBITDA, but importantly, that is spread across a bunch of different asset classes and around the world.

Really, a durable and diversified revenue and cash flow stream for us to work with on that front and continue to grow the business as we have over the last 20 or so years that we've been public.

Ken: How are you thinking about leverage and deleveraging following the investment in Polymarket? To any extent, does the Polymarket investment change the outlook for your buyback, now that you have gotten that leverage level to your target following Black Knight?

Warren: There's no change to how we're approaching things. We ended the third quarter at about three times gross-debt-to-EBITDA, which is right around where we would like to be on a normalized basis. Our target's 2.75 to 3, so we're in that range or were in that range. We're actually about 2.9 times, just to be totally clear and transparent on it.

We felt like we were in a pretty good position. Polymarket, of course, that happened in October. That will tick up leverage or has ticked up leverage a little bit.

Still, even with the second tranche of that investment that should happen in the next several months or so, pro forma through the third quarter, we would still have been around three and a quarter or so of gross debt to EBITDA, so at a range where traditionally we've been in more of a buyback mode with the excess free cash flow that we generate.

We've been taking the approach, over the last couple quarters, of not only paying down some debt a little bit, but also buying back stock, with a little bit more weight towards buying back stock.

As we head into the fourth quarter, of course -- we're a little bit more than halfway through, I suppose, at this point -- and into next year, it's a similar approach in that way. You can expect us to continue to pay down a little bit more debt here, but then, also, we'll weight more towards buybacks.

That, of course, absent any opportunities we see on the M&A front, which can be a little bit difficult to predict. We've always been just opportunistic with that.

There's nothing we, necessarily, need as a company, but when those opportunities do arise, we obviously have the balance sheet and the cash flow stream to take advantage of those opportunities. We will do that as we move through the next couple quarters and years, of course.

Ken: With the stock off its highs, does it make sense you can be more opportunistic here than you might have been if the stock was back at \$200?

Warren: We repurchased \$400 million in the third quarter. Obviously, the stock's gotten a little bit better in the last couple weeks, but I felt like that was a good allocation of cash. That was definitely well into the majority of that excess free cash flow for us.

We've been able to take advantage of those opportunities when we see them. I certainly think our stock is in an attractive position from a buying standpoint these days, given where the levels are. Yeah, of course.

Ken: Digging into the exchange...I'm sorry. I've got big windups for a bunch of these questions. Ultimately, what does the outlook for oil and gas look like going into 2026?

When we speak to investors, the first half of '25 was really strong on the energy side of the franchise. We had geopolitical events, which seem maybe less likely or not certainly going to repeat themselves, making for tough comparisons from the first half of this year.

As you said, maybe on the conference call or the earnings call, open interest is clearly growing really quickly, particularly in the flagship products. What does next year look like? Are there catalysts that you see for volume growth in energy, in what seems like a tough comparable market in the first half of '26?

Warren: People thought that '24 was going to be a tough compare and '25 was going to be a tough compare.

Ken: And '23, actually.

[crosstalk]

Warren: '23 was, yeah. Certainly, we've seen this plenty of times in the past. The important thing is the fundamentals and the secular drivers behind the growth we've had in energy.

If you look at our energy business over the last several decades -- you can pick your time frame within that, if you'd like -- we've been, roughly speaking, in the high single-digit range in terms of revenue growth, on average. Obviously, it can fluctuate above and below that at times, given the transactional nature of that business.

As Ken said, open interest, being a very important indicator of health in those markets, continues to be up high single digits, low double digits across the platform. That second part is important. It's not just one or two products. The breadth of it is really strong, which obviously indicates a lot of customer engagement on that front.

Again, the secular trends around energy moving around the world more and more, whether it's oil or LNG, all those different sources moving around the world into more places around the world and just the complexity of those supply chains ever increasing are trends that have been in place for a while.

Clearly, there's a lot of demand for energy consumption as we head into not just next year, but the next several decades, whether it is on the natural gas side or on the oil side. LNG trade is expected to double over the next couple of decades, for instance. We're in a really good position, from a long and medium-term perspective, to see growth across that platform, much like we have in the past.

If you drill down a little bit further from that, some of these key benchmarks that we have, whether it's Brent or TTF, which is really becoming the global benchmark for natural gas, much like what Brent is for oil, there continues to be a huge runway for growth there.

It was only a few years ago that the Midland contract -- I'm sure we'll get into that, but I'll speak a little bit about that here -- Midland contract in Houston, was added to the Brent index. Midland is actually 70, 80 percent of US exports today.

That benchmark, while only a few years old, is increasingly becoming a huge part of the commercial world, in terms of their hedging needs and them moving oil around the world as well.

When you think about oil that's coming to Houston today, something like 3.5 million barrels are coming into Houston today versus maybe 400,000 or so into Cushing. It's becoming a key marker for people.

Of course, being part of that Brent index as people are moving oil around the world is also helping the adoption of that Brent index become greater. We're seeing US oil producers using the Brent index more and more, that hadn't used it before. That's been a key part of our growth.

On the TTF side, as I said, we've got LNG, of course, being a bigger component of the energy mix and moving around the world more and more. We're seeing a lot of commercial adoption of that contract. That contract used to be more of a European regional contract years and years ago and, again, has expanded into becoming more of this global benchmark for people.

As LNG becomes more important, that's becoming an increasingly critical risk management tool for our customers. We've actually seen a lot of growth in the US cohort that trades that contract. It's increased pretty significantly over the last couple of years. Again, it used to be more of a European contract. Now it's becoming more of this global benchmark for people.

That all then funnels down to risk management needs off of those key benchmarks. A lot of our other oil contracts and some of our more regional gas contracts, that whole ecosystem starts to benefit as the adoption of these key benchmarks grows. We've got a lot of runway for growth across energy as we head into the next couple years and decades.

Ken: Our observation is gas/oil emissions, heating oil, some of these non-flagships are seeing really great growth even as we sit here today.

Maybe moving on, one of the observations we had is that we're seeing other exchanges continue to experiment and probe into getting into each other's contracts. We've seen CME's share of Brent rising. Eurex is doing more in EURIBOR. Eurex has -- actually, not in October because ICE crushed in October -- 50/50 in €STR trading.

The question around this is, is it getting easier for exchanges to crack the futures monopolies that we've seen in the past, or is there just a greater willingness to sacrifice pricing to stay in these contracts for longer in hopes that eventually they can sustain some market share? Is the game

any different today than it was 10 years ago?

Because it seems like we're seeing pockets of...I don't want to say, "Success," but at least higher market share than maybe we've seen in attempts in the past.

Warren: I don't think anything's changed on that front. It's more of the latter there, in terms of what you're seeing on the competitive front. We see that from time to time, across the exchange ecosystem.

The important thing to look at in times such as that would be the open interest. If you look at Brent open interest, it's mid- to high-90 percent market share. Obviously, the volumes can fluctuate here and there, but if you look at the open interest there, that obviously has sustained a pretty healthy market share in that way.

I would say the same for €STR as well, where we've been in the 70 percent-plus range, if not more than, in terms of our market share of open interest.

Actually, on big volume days like we actually saw more recently and, to your point, on share, we've seen more share shifts to us and away from some of the others that are out there, which, again, is indicative of people coming to us where they know the liquidity is going to be on those higher-stress days.

EURIBOR too, in terms of looking at market share, we continue to maintain those healthy 90 percent-plus market share levels. That's what I would really guide you to.

You're going to have fluctuations in volumes across these different contracts, but ultimately, with that market share and open interest sticking steady, it's indicative of us continuing to be able to grow and that competitive position not changing a whole lot in that way.

Ken: One of the things I wanted to dig into -- Jeff made a big deal about this on the earnings call -- maybe talk about how the plumbing in futures is changing. Clearing, margining, collateral management, Jeff mentioned that Polymarket's been innovative in these areas and is in a position to teach ICE, I'm going to say, how to maybe improve upon the existing framework.

Maybe talk a little bit about what Polymarket is doing. Maybe how can they help you in terms of the evolution of the ICE clearing system?

Warren: Polymarket, for those that maybe aren't as familiar with it, it's a prediction market. It's one of the leading prediction markets, particularly in events that are outside of sports. That was one of the things that was really interesting to us, in terms of what they're doing, because a lot of those events in those markets are adjacent to financial markets.

There's a lot of data that comes off of that that's going to be interesting and is interesting to our customer base. To Ken's question and also part of our thesis and why we were interested in that is they also have a very different technology stack in that way, market infrastructure technology stack.

Polymarket operates decentralized, non-custodial smart contracts that are on the Polygon blockchain, which is a Layer-2 Ethereum blockchain. As you know, we're more of a traditional financial market infrastructure, so a different world in terms of what we're operating in and what they're operating in.

As we were looking at that, we felt like there could be applications in some markets, over time, that, again, we didn't really have the core expertise at ICE, much like they don't have in some of the more traditional financial market infrastructures like we have.

We felt like there was an interesting opportunity to collaborate on those and really help, over time, potentially, advance and evolve markets in the way that markets want to.

It's not that we're necessarily sitting there wanting to pick one horse or the other or, frankly, even have a very clear vision on where all these markets will necessarily end up, if you will, but the opportunity to collaborate on those is now there in a way that it wasn't before.

To be clear too, that goes for Polymarket as well, who may have some interest in some of the traditional market infrastructure and technology that we operate and how that maybe can be applied to some of their markets as well over time. That was a really important component of it for us.

One of the other areas -- it's obviously very related -- would be around stablecoins. That's one of the elements of that Polymarket infrastructure, is that when you do make a trade, it locks in a stablecoin for cash on that amount.

Once that event is resolved through this decentralized protocol, decision protocol, a stablecoin is delivered to the winner of that contract. They obviously have some expertise in that area of

stablecoins.

It's something that we think could potentially be interesting from an efficiency standpoint, maybe not exactly in the way that they necessarily do it today on their markets, but components of it that could be of interest in our clearinghouse infrastructure.

We operate six clearinghouses around the world. In many cases, customers are carrying excess collateral balances at those clearinghouses. When they need to pull down on that excess collateral, for whatever reason that may be, they, of course, go through traditional financial rails, which are not 24/7 and have friction to them, to some degree.

Whereas a stablecoin, if that was able to be operated and cut across the clearinghouses, you could have a lot more efficiency in terms of moving collateral from one to the other on a 24/7 basis, which of course would create a lot more efficiency within the system and maybe allow people to maybe carry a little less excess capital, which could open it up maybe for more trading.

That's ultimately what we are exploring on that front, nothing to, obviously, officially announce or anything here today, but one of the things that we are exploring. The efficiency, ultimately, that's a core component of what we try to do at ICE, in terms of bringing efficiency to our customers in all the different ways we possibly can. This could be one tool to be able to do that.

Actually, it's similar. That theme is similar in terms of what we've recently launched too with our IRM 2, which is a new risk model within the clearinghouse that will enable people to gain more efficiency across their positive, by a pretty significant margin. We're proud of that launch, separate from stablecoins, of course.

Again, it's just another point to make, that it's something we're always looking to do, is bring more efficiency to our customers, which can ultimately benefit us to some degree, in maybe additional trading.

Ken: When you spoke about this, the way I'm thinking about it is efficiency and margining. Efficiency and margining means maybe responsibly margining less. That's what...

[crosstalk]

Warren: Absolutely. In the correct order too as well.

Ken: There we go. The other thing that came to mind as you were speaking, if we're doing this all in the smart contract, do you need FCMs? Do they still have a role in a smart contract world, or does the smart contract replace a bunch of what they do?

Warren: I don't know that it's there yet on that front. That's why we're still exploring that front. A smart contract today, like I said, that's a fully collateralized contract. There is no margin against that in that way. That's a different market structure in that sense. That's why I'd say we're still exploring that.

We have important FCM customers. We'll explore that further. Today, we're just thinking about how certain components of Polymarket's market infrastructure and market technology can be applied, not necessarily the full technology stack, if that makes sense.

Ken: I'm going to digress a little bit onto Polymarket. ICE has a data agreement with Polymarket. Is there institutional interest, from ICE's perspective, in binary futures contracts? We see your interest in data. We see your interest in the plumbing. Is there also an avenue of ICE interest in the trading side of Polymarket as well?

Warren: Could be. The first two components of the investment were what I said. The data side of it is a really interesting one, in that, again, a lot of what their markets are these non-sport markets that are adjacent to ours that we've discovered a lot of our customers were utilizing off of the Polymarket website to inform their risk management processes and decisions.

What we're going to do on the data side is really institutionalize that data feed so that they can consume that data in the way that they're accustomed to today, in terms of how they consume other data sources. Those are the two initiatives that we're really working on at the moment and are focused on. We're a month or so, month and a half or so into this.

Over time, more directly in answer to your question, it could be something, but it would be something that we would do as we understood from our customers that that was something that they felt was important to them. It's something that we could do in the event that there was that interest.

The other side of that too is maybe helping bring more of an institutional customer base to their platform as well, which we understand is something that many customers have interest in doing as well. That can work both ways. With this partnership, we'll be able to drive the best outcome for the customer in that way, to the benefit of either our investment or the ICE P&L, if you will,

either way.

Ken: I'm going to head on to mortgage. Again, starting higher-level, where are things going well? Where are challenges emerging on ICE's mission to digitize the mortgage origination servicing process?

Warren: Maybe I'll start with the second part of that. It's not that it's not going well or anything like that, but maybe I would have hoped for a better macro environment from a mortgage standpoint. Things are getting better. This year is going to be better than last year from an origination standpoint.

We're seeing stabilization across the industry, which will be just to the benefit of everybody in the ecosystem, of course. That's certainly one area that I suppose I would have hoped would have been better.

We have the opportunity again, coming back to the first question that you asked me...Because of the diversified nature of our revenue and cash flow stream and the durability of that revenue and cash flow stream, we can make investments in that business through all kinds of cycles.

It was only a few years ago we saw the worst year for mortgage in over 30 years, but we continued to move forward in making the investments that we wanted to make and modernizing the servicing platform, launching new products, integrating servicing more with the Encompass platform.

All of those are things that are going really well on that front and we're able to do because we are a big, diversified company across a lot of different asset classes. We'll be in a much better position than maybe a standalone company might have otherwise been, as a result of that.

I've been very pleased with that, with where the investments are going, in many cases ahead of schedule in terms of what we originally thought. I've been happy with the results on that front.

I'd say too, just from an integration standpoint, the original synergy targets that we set, we thought we would have about \$200 million of expense synergies over a five-year period, at the outset, when we announced the deal.

We expect to be at \$200 million by the end of this year. Very comfortable with that target, which is now year two, so well ahead of schedule. Think, actually, over year five, we can be closer to \$230

million of expense synergies.

Again, coming back to the integration and things going well, that's a way to help quantify it a little bit in that sense and be able to do a lot of these things a little bit faster than we maybe originally thought we could. Been pleased with that performance.

Ken: There's been a lot of buzz on AI. Ben Jackson spent quite a bit of time, on the conference call, talking about how ICE is utilizing AI in many of the different parts of the business. How are you thinking about how AI could improve the mortgage origination and servicing process?

In particular, I think it was Jeff, when you guys announced Black Knight, talked about the digitization of the mortgage process and how much time you could take out and how much cost you could take out.

Does AI or maybe how does AI...I don't know if you guys have gotten there yet. How much more do you think that ICE can do utilizing AI than maybe what you had initially thought when you started the process? Is it incremental? Does it make your business more attractive if you can take that much more out in cost and time?

Warren: Yeah. It can. It's not something we've quantified quite yet, but I can tell you that, look, a mortgage today costs \$10,000, \$11,000 or so to originate. Most of that is in personnel costs.

We've got a target of being able to take out a couple thousand of that through the utilization of our tools over time. We had that target before AI came onto the scene in a major way. AI can certainly be something that's helpful on that front, whether it's accelerating or increasing it. We are working on several different initiatives, currently, to help drive that.

You think about areas within the origination workflow. We have a suite of products called our analyzers that really attack different tasks across the mortgage workflow using artificial intelligence/machine learning to extract information from documents and feed it into the origination system in a way that previously was done through stare-and-compare work...

So taking a lot of time to accomplish where, today, we can do that in a far quicker and far more accurate way than previously. Enhancing that as AI becomes better is a key initiative for us within that product suite, that will be really helpful for people too as well.

The other area that we've more recently been working on is on the customer service front, where

we've been able to utilize AI tools to summarize customer service calls, predict potential issues within those calls...

And, over time, we think, will be able to be an agent that will help handle things like payments and remitting payments and things of that nature on the servicing side that will just create more of a borrower-friendly experience, more of a borrower self-service experience, for people, as well as creating tools that will help with issue resolution.

The one thing to remember though is that this is still a highly regulated industry. I don't think regulators, and frankly originators and customers, for that nature, want a bot to fully create a mortgage. There is that risk of put-back risk, if you don't do it correctly, that people are very aware of.

We are spending a lot of time trying to assess what the different tasks are that can be adopted by AI to a great extent and maybe which ones are maybe less so. There are always going to be this level of human interaction to ensure. It will be on the more complex issues, the more complex tasks, that that will exist.

Ultimately, it can be, certainly, a help propellant in terms of driving more efficiency across that workflow. That's something that we're doing a good job of. We'll see how this technology ultimately evolves. It's certainly something that can contribute to that greater efficiency we've talked about.

Ken: We've got a few minutes left. If there's any questions in the room, raise your hand. We'll take your questions now. Otherwise, you can hear me drone on. Any questions? Means I'm doing a really good job.

Warren: Drone on.

Ken: Since we're in the House of Morgan and you've got a big relationship with J.P. Morgan, maybe talk about how the relationship with J.P. Morgan is going. To what extent do you see the J.P. Morgan relationship as a blueprint for other larger bank mortgage originators to outsource or servicers to outsource to ICE rather than to do it themselves?

Warren: It's a good question. Things have been going really well on that front. J.P. Morgan was already on MSP, which is the servicing platform that we have, but post the acquisition, agreed to come onto our origination platform.

One thing that was really compelling about this acquisition, our acquisition of Black Knight, to be very clear, was the opportunity to bring together and integrate servicing and origination technology.

With that, J.P. Morgan saw the opportunity on that front and signed on. As we know, J.P. Morgan is a big bank with a very big mortgage business. They can take some time to implement these products. We've got two channels, a correspondent channel and a retail channel.

Correspondent channel is up and running and starting to ramp, whereas the retail channel is very much on track but was always planned to be staggered in that way and start a little bit later. Very good on that front. I've been very pleased with the partnership on that front as well. Things are going well.

Because of that, it's started to increase some interest from others around, as we would have hoped. J.P. Morgan, obviously being a very prestigious and well-known bank, in particular in the mortgage space, is going to attract some interest when they do something along those lines.

It's definitely something that is bringing some people and making some people have some discussions with us and consider moving over to our platform. It's been a helpful experience.

Ken: Last chance for questions. Up in front.

Audience Member: Thank you.

Ken: Just identify who you are.

Audience Member: Ram from TD Asset Management. How do you see the global market structure changing over the next five years? How is ICE positioned to grow in this? Where do you see pockets of growth in the future?

Ken: Which asset class? Are you talking mortgage or trading?

Audience Member: Overall.

Warren: It's a good question and, I'll say, a difficult one to answer with any degree of full certainty.

Part of the reason we made that investment in Polymarket was because we felt like that was a new financial market infrastructure or technology that has potential applications, maybe not entirely in all different markets, but certainly components of it that we felt could be applicable to some of our markets over time.

Ultimately, what we did with that and the reason we did that is we don't know exactly where everything is going to go in that way, but we've got all the tools and the capabilities now, not under our roof, but certainly in partnership with them, to help advance those markets in the way that they want to.

It's a difficult one to answer with any degree of certainty. It's certainly a world where things are changing very rapidly. That's why we wanted to put ourselves in that position to be able to flexibly evolve over time as markets demanded.

Ken: We're at time. Warren, thank you so much. This is one of the highlights of my year...

Warren: [laughs]

Warren: our chat here today. Thank you, everybody, for joining.

Warren: Thank you.

Ken: Have a great rest of the conference.

Warren: Thanks, everybody.

[applause]



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